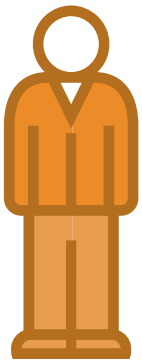
Uncovering the Dark Side of Fiat

Target Rates
Monetary Policy

Unemployment Below
6.5%



2% - 3%
Annual Increase in Gross Domestic Product

Core Inflation Rate between
2.0% - 2.5%

Expansionary
Fiscal Policy

VS

Contractionary
Fiscal Policy

Aims to increase consumer spending and business investment to increase aggregate demand an economic growth.

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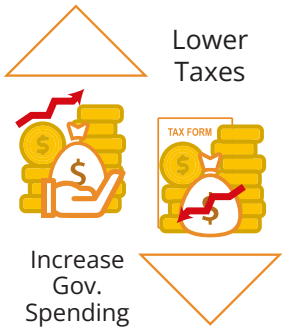

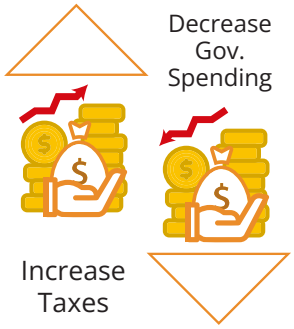

Policy/Tool	Description	Example
Monetary Policy	Monetary policy involves adjusting interest rates to control the amount of money in circulation.	**The Federal Reserve** raising interest rates to slow down inflation or can lower them to stimulate employment.
Fiscal Policy	Fiscal policy involves using spending and tax policies to influence the economy.	The government increasing spending on infrastructure projects to stimulate economic growth. It can also decrease taxes so people spend more.
Exchange Rate Policy	The use of a country's exchange rate (the value of its currency in relation to other currencies) to influence trade and the economy.	The Chinese government pegging the value of the yuan to the U.S. dollar to stabilize exchange rates
Supply Shock	A sudden and unexpected event that disrupts the supply of goods and services, leading to changes in prices and the money supply.	A natural disaster that destroys a significant portion of a country's agricultural production, leading to food shortages and price increases.
Price Controls	Government-imposed limits on the prices of goods and services to manage inflation or stabilize prices.	The government setting a maximum price for gasoline to prevent price gouging during a crisis.